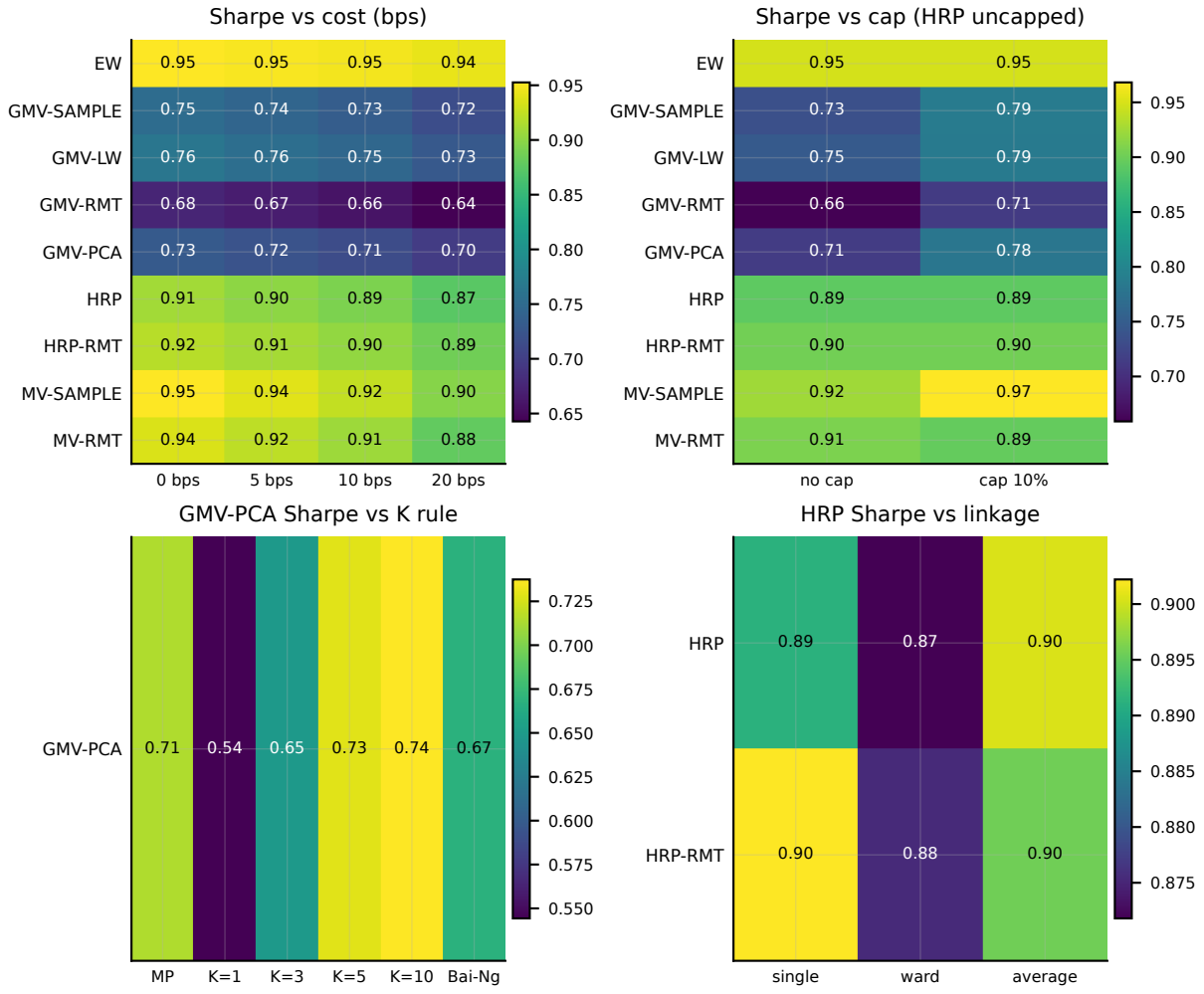
Sharpe vs cost (bps)
EW 0.95 0.95 0.95 0.94
GMV-SAMPLE 0.75 0.74 0.73 0.72
GMV-LW 0.76 0.76 0.75 0.73
GMV-RMT 0.68 0.67 0.66 0.64
GMV-PCA 0.73 0.72 0.71 0.70
HRP 0.91 0.90 0.89 0.87
HRP-RMT 0.92 0.91 0.90 0.89
MV-SAMPLE 0.95 0.94 0.92 0.90
MV-RMT 0.94 0.92 0.91 0.88
0 bps
5 bps
10 bps
20 bps
0.95
0.90
0.85
0.80
0.75
0.70
0.65
Sharpe vs cap (HRP uncapped)
EW 0.95 0.95
GMV-SAMPLE 0.73 0.79
GMV-LW 0.75 0.79
GMV-RMT 0.66 0.71
GMV-PCA 0.71 0.78
HRP 0.89 0.89
HRP-RMT 0.90 0.90
MV-SAMPLE 0.92 0.97
MV-RMT 0.91 0.89
no cap
cap 10%
0.95
0.90
0.85
0.80
0.75
0.70
GMV-PCA Sharpe vs K rule
GMV-PCA 0.71 0.54 0.65 0.73 0.74 0.67
MP
K=1
K=3
K=5
K=10
Bai-Ng
0.725
0.700
0.675
0.650
0.625
0.600
0.575
0.550
HRP Sharpe vs linkage
HRP 0.89 0.87 0.90
HRP-RMT 0.90 0.88 0.90
single
ward
average
0.900
0.895
0.890
0.885
0.880
0.875